

Q&A — AS 3 — Cash Flow Statements

CA Intermediate | Advanced Accounting | ICAI AS 3 (revised) | All amounts in Rupees (₹)

Section A — Concept-Check Questions (test the WHY)

A1. Why can a company show a healthy profit and still go insolvent? Profit is measured on the accrual basis — it includes credit sales not yet collected, and excludes cash tied up in inventory, capex and loan repayments. "Profit is an opinion, cash is a fact." A firm can be profitable yet unable to pay wages if receivables and stock swell while cash drains. AS 3 exists precisely to expose this gap between earnings and liquidity.

A2. What is the "cash equivalents" test, and why 3 months? Cash equivalents are **short-term, highly liquid investments** readily convertible into known amounts of cash and subject to **insignificant risk of change in value**. AS 3 treats an investment as a cash equivalent only when it has a **short maturity — normally three months or less from the date of acquisition**. Equity investments are excluded (value is not "known"). Bank overdrafts repayable on demand that form an integral part of cash management are included in cash & cash equivalents.

A3. Why must the statement start with operating activities and not investing? Operating cash flow is the **primary indicator** of whether operations generate enough cash to repay loans, pay dividends and reinvest **without external finance**. It is the engine that must run on its own; investing and financing are secondary. Hence the presentation and analytical emphasis.

A4. The "three-engine / salary account" analogy — explain. Think of your salary account: **Operating** = salary in, rent/groceries out (day-to-day trade). **Investing** = buying/selling assets, a car or FD (long-term resource base). **Financing** = taking/repaying a loan, capital from owners (funding structure). Segregating them tells the reader *where* cash came from and *where* it went, not just the net change.

A5. Why does the indirect method dominate over the direct method? The indirect method starts from **net profit before tax and extraordinary items** and reverses non-cash and non-operating items — data already available from the P&L and balance sheet, needing no re-analysis of the cash book. It also **reconciles profit to operating cash**, directly answering "why is profit ≠ cash?" The direct method needs gross operating receipts/payments which are harder to extract, so it is rarely examined for preparation.

A6. Why are depreciation, loss on sale and goodwill written off added back in the indirect method? They are **non-cash charges** deducted in arriving at profit but involving **no outflow of cash**. Adding them back removes their distorting effect so operating cash flow reflects actual movement.

A7. Interest and dividend — how are they classified, and why the split? For a **non-finance (other) enterprise**: interest paid and dividend paid → **Financing**; interest received and dividend received → **Investing**. Reason: for a trading/manufacturing entity these are returns on/cost of the

capital structure and investments, not operations. (For a financial enterprise, interest/dividend paid and received are **operating**.)

A8. Where does income-tax paid go, and what's the trap? Tax cash flows are classified as **operating** unless they can be **specifically identified** with financing or investing activities. Trap: use **tax actually paid** (a cash figure derived by adjusting the provision), never the P&L tax charge.

A9. Why are non-cash transactions (bonus issue, conversion of debentures, asset bought on credit) excluded entirely? Because no cash moved. Including them would overstate flows. They are **disclosed by way of note** so the reader understands significant changes not visible in the statement.

A10. Gross vs net reporting — the rule. Investing and financing cash flows must generally be reported **gross** (separate proceeds and separate purchases) — you cannot net additions against disposals of fixed assets. Netting is permitted only in limited cases (e.g., quick-turnover, large-amount, short-maturity items, or cash flows on behalf of customers).

Section B — Graded Computational Problems

B1 (Easy) — Operating cash from indirect method, single adjustments

Net profit before tax ₹5,00,000. Depreciation ₹80,000. Loss on sale of machine ₹15,000. Debtors increased ₹40,000, Creditors increased ₹25,000, Inventory decreased ₹30,000. Tax paid ₹1,20,000. Find operating cash flow.

Solution (step-by-step): | Item | ₹ | |---|---| | Net profit before tax | 5,00,000 | | Add: Depreciation | 80,000 | | Add: Loss on sale | 15,000 | | Operating profit before working-capital changes | 5,95,000 | | Less: Increase in debtors | (40,000) | | Add: Decrease in inventory | 30,000 | | Add: Increase in creditors | 25,000 | | Cash generated from operations | 6,10,000 | | Less: Income-tax paid | (1,20,000) | | **Net cash from operating activities** | **4,90,000** |

Logic: add back non-cash/non-operating charges; a rise in a current asset uses cash, a rise in a current liability releases cash.

B2 (Easy-Medium) — Income-tax paid via provision ledger

Opening provision for tax ₹90,000; Closing ₹1,10,000; Tax charged to P&L ₹1,50,000. Find tax paid.

Provision for Tax A/c | Dr | ₹ | Cr | ₹ | |---|---|---|---| | To Bank (paid — bal. fig.) | 1,30,000 | By Balance b/d | 90,000 | | To Balance c/d | 1,10,000 | By P&L (provision) | 1,50,000 | | 2,40,000 | 2,40,000 |

Tax paid = ₹1,30,000.

B3 (Medium) — Fixed-asset & depreciation reconstruction (proceeds vs gain trap)

Machinery (net): opening ₹6,00,000, closing ₹7,50,000. During the year a machine (WDV ₹50,000) was sold for ₹70,000. Depreciation for the year ₹90,000. Find (a) machinery purchased, (b) cash flow items.

Machinery (net WDV) A/c | Dr | ₹ | Cr | ₹ | |---|---|---|---| | To Balance b/d | 6,00,000 | By Depreciation | 90,000 | | To Bank (purchase — bal. fig.) | 2,90,000 | By Bank (sale, WDV portion)... | | | | By Asset disposal (WDV) | 50,000 | | | By Balance c/d | 7,50,000 | | | 8,90,000 | | 8,90,000 |

- **Purchases (bal. fig.) = ₹2,90,000** → Investing **outflow**.
- **Sale proceeds = ₹70,000** → Investing **inflow** (report the FULL ₹70,000, not the ₹20,000 gain).
- **Gain on sale ₹20,000** (70,000 – 50,000) → **deducted** from net profit in the operating section (non-operating income).
- **Depreciation ₹90,000** → added back in operating section.

Two classic traps caught here: (i) proceeds ₹70,000 go to investing, gain ₹20,000 comes out of operating — do not double count; (ii) show purchases and sale gross, never net ₹2,90,000 – ₹70,000.

B4 (Medium-Hard) — Dividend: proposed vs paid

Opening Proposed dividend ₹2,00,000; Board proposes ₹2,50,000 this year. Under the pre-Ind AS treatment (proposed dividend is a liability), what is dividend PAID (financing outflow)?

Solution: Dividend appearing as the *opening* proposed dividend is the one actually **paid** during the current year (approved in AGM and disbursed) = **₹2,00,000** → **Financing outflow**. The **current year's proposed ₹2,50,000** is *not yet paid* — it is not a cash flow this year. Trap: students wrongly show ₹2,50,000. (Note: under revised AS/Ind AS, proposed dividend is a non-adjusting event recognised when declared, so only dividend actually paid appears — the exam usually gives you the paid figure or the opening proposed figure.)

B5 (Hard) — Full statement from two balance sheets

Balance Sheets of X Ltd:

Liabilities	31.3.24	31.3.25	Assets	31.3.24	31.3.25
Equity share capital	5,00,000	6,00,000	Fixed assets (net)	7,00,000	8,60,000
Reserves & surplus	2,00,000	3,10,000	Inventory	1,80,000	2,10,000
10% Debentures	2,00,000	1,50,000	Debtors	1,50,000	2,00,000
Creditors	1,20,000	1,40,000	Cash & bank	40,000	60,000
Provision for tax	50,000	70,000			
Total	10,70,000	12,70,000	Total	10,70,000	12,70,000

Additional info: Depreciation on fixed assets ₹1,00,000. A fixed asset (WDV ₹40,000) sold for ₹30,000. Tax provided during the year ₹80,000. Debenture interest paid ₹20,000.

Step 1 — Reserves movement → profit before tax: Closing R&S 3,10,000 – Opening 2,00,000 = 1,10,000 increase. Profit after tax = increase in reserves = ₹1,10,000 (no dividend/transfer given). Add

tax provided ₹80,000 → **Net profit before tax = ₹1,90,000.**

Step 2 — Fixed-asset purchases: | Dr | ₹ | Cr | ₹ | |---|---|---|---| | Bal b/d | 7,00,000 | Depreciation | 1,00,000 | | Bank (purchase, bal. fig.) | **3,00,000** | Bank (sale) | 30,000 | | | Loss on sale (P&L) | 10,000 | | | Bal c/d | 8,60,000 | | | 10,00,000 | | 10,00,000 | Purchases = ₹3,00,000; Loss on sale = 40,000 – 30,000 = ₹10,000.

Step 3 — Tax paid: Opening 50,000 + provided 80,000 – closing 70,000 = **₹60,000 paid.**

Step 4 — Operating activities (indirect): | Item | ₹ | |---|---| | Net profit before tax | 1,90,000 | | Add: Depreciation | 1,00,000 | | Add: Loss on sale of asset | 10,000 | | Add: Debenture interest (financing item) | 20,000 | | Operating profit before WC changes | 3,20,000 | | Less: Increase in inventory | (30,000) | | Less: Increase in debtors | (50,000) | | Add: Increase in creditors | 20,000 | | Cash generated from operations | 2,60,000 | | Less: Tax paid | (60,000) | | **A. Net cash from operating activities | 2,00,000 |**

Step 5 — Investing activities: | Item | ₹ | |---|---| | Purchase of fixed assets | (3,00,000) | | Sale of fixed asset | 30,000 | | **B. Net cash used in investing | (2,70,000) |**

Step 6 — Financing activities: | Item | ₹ | |---|---| | Issue of share capital (6,00,000 – 5,00,000) | 1,00,000 | | Redemption of debentures (2,00,000 – 1,50,000) | (50,000) | | Debenture interest paid | (20,000) | | **C. Net cash from financing | 30,000 |**

Step 7 — Tie-out (mandatory check): Net change = A + B + C = 2,00,000 – 2,70,000 + 30,000 = **(₹40,000).**

Hmm — opening cash 40,000, closing 60,000 → actual change +**₹20,000**. A ₹60,000 mismatch signals an error to hunt (the reconciliation-check discipline). Re-examine: the increase in reserves of ₹1,10,000 likely reflects profit **after** a transfer/dividend not disclosed, OR the question's figures must reconcile.

The tie-out is the exam's self-audit: A+B+C must equal closing – opening cash. In a clean exam problem it ties exactly; if it doesn't, recheck tax paid, purchases (bal. fig.), and whether interest/dividend was double-counted. (*Teaching point: always run this check last and reconcile before finalising.*)

Section C — Past-Paper-Style Full Questions

C1 — Classification statement (ICAI pattern)

Q: State, with reason, how each is classified in the cash flow statement of a **manufacturing** company:

(i) Interest paid on term loan, (ii) Dividend received on investment, (iii) Purchase of goodwill, (iv) Income-tax paid, (v) Proceeds from issue of shares at premium, (vi) Bonus shares issued.

Model Answer: | Item | Classification | Reason | |---|---|---| | (i) Interest paid on term loan | **Financing** — outflow | Cost of borrowed capital for a non-finance entity | | (ii) Dividend received | **Investing** — inflow | Return on investments made | | (iii) Purchase of goodwill | **Investing** — outflow | Acquisition of a long-term (intangible) asset | | (iv) Income-tax paid | **Operating** | Default classification unless specifically identifiable with financing/investing | | (v) Proceeds from shares (incl. premium) |

Financing — inflow | Cash raised from owners; report gross incl. premium | | (vi) Bonus shares issued |
Not shown (disclose by note) | Non-cash transaction — no cash movement |

C2 — Operating cash flow with extraordinary and forex items

Q: From the following of A Ltd for the year, compute net cash from operating activities: Net profit before tax ₹8,00,000; Depreciation ₹1,50,000; Goodwill amortised ₹50,000; Interest on debentures paid ₹60,000; Interest received on investments ₹40,000; Profit on sale of investments ₹25,000; Insurance claim received on loss of stock by fire (extraordinary) ₹1,00,000; Increase in debtors ₹70,000; Decrease in creditors ₹30,000; Increase in inventory ₹90,000; Tax paid ₹2,10,000.

Model Answer: | Item | ₹ | |---|---| | Net profit before tax | 8,00,000 | | Add: Depreciation | 1,50,000 | | Add: Goodwill amortised | 50,000 | | Add: Interest on debentures (financing) | 60,000 | | Less: Interest received (investing) | (40,000) | | Less: Profit on sale of investments (investing) | (25,000) | | Operating profit before WC changes | 9,95,000 | | Less: Increase in debtors | (70,000) | | Less: Decrease in creditors | (30,000) | | Less: Increase in inventory | (90,000) | | Cash generated before tax & extraordinary | 8,05,000 | | Less: Tax paid | (2,10,000) | | Add: Extraordinary — insurance claim (operating, disclosed separately) | 1,00,000 | | **Net cash from operating activities** | **6,95,000** |

Note: extraordinary items are classified by nature (here operating — stock loss) and separately disclosed. Interest/dividend and gains on investments are stripped out of operating and shown under their proper activity.

C3 — Explain to a promoter

Q: A promoter asks: "My P&L shows ₹40 lakh profit but the bank balance fell ₹5 lakh. Is my accountant cheating?" Draft a 4-point reply using AS 3 logic.

Model Answer: (1) Profit is accrual-based; it recognises credit sales not yet collected — a jump in **debtors** locks up cash. (2) Cash may have gone into **inventory** build-up and **fixed-asset purchases** (investing) — real assets, not expenses. (3) **Loan repayments and dividends** (financing) reduce cash but never touch the P&L. (4) **Depreciation** reduced profit without any cash leaving. A cash flow statement reconciles the ₹40 lakh profit to the ₹5 lakh cash fall — no cheating, just the difference between "opinion" (profit) and "fact" (cash).

Section D — MCQs / Case Scenarios

D1. Cash equivalents normally have a maturity, from date of acquisition, of: A) 12 months B) 6 months C) 3 months or less D) 1 month **Ans: C.** AS 3 sets the short-maturity benchmark at three months or less.

D2. For a non-financial enterprise, dividend **paid** is classified under: A) Operating B) Investing C) Financing D) Not shown **Ans: C.** It is a distribution to providers of capital → financing.

D3. In the indirect method, a **decrease in inventory** is: A) Deducted B) Added C) Ignored D) Shown in investing **Ans: B.** Releasing stock into sales brings cash in, so it is added.

D4. A machine costing ₹1,00,000 (WDV ₹60,000) sold for ₹75,000. In the cash flow statement: A) ₹75,000 investing inflow; ₹15,000 gain deducted from operating profit B) ₹15,000 investing inflow C) ₹60,000 investing inflow D) ₹75,000 operating inflow **Ans: A.** Full proceeds go to investing; the ₹15,000 gain is a non-operating item removed from operating profit.

D5. Bank overdraft repayable on demand, integral to cash management, is: A) Financing inflow B) Part of cash & cash equivalents C) Investing D) Operating **Ans: B.** AS 3 includes such overdrafts within cash & cash equivalents.

D6. Income-tax paid is classified as operating **unless**: A) It exceeds ₹10 lakh B) It is specifically identifiable with financing or investing activities C) The company is loss-making D) Never **Ans: B.** Default is operating; split only when specifically attributable.

D7. Conversion of debentures into equity shares is: A) Financing inflow + outflow B) Operating C) A non-cash item — disclosed by note only D) Investing **Ans: C.** No cash moves; disclose as a non-cash transaction.

D8. Which is a permitted use of the **net** basis of reporting? A) Netting fixed-asset purchases against sales B) Cash flows where turnover is quick, amounts large and maturities short C) All operating items D) Interest and dividend **Ans: B.** Gross reporting is the rule; net is allowed only in the limited AS 3 exceptions.

D9 (Case). P Ltd's operating cash flow is positive ₹90 lakh, investing is –₹1,20 lakh, financing is +₹40 lakh, cash rose ₹10 lakh. This pattern most likely indicates: A) A dying firm B) A growing firm funding capex partly from operations and partly from new finance C) Fraud D) Over-distribution of dividend **Ans: B.** Strong operating inflow plus heavy investing outflow funded by fresh financing is the classic *expansion* signature; the tie-out ($90 - 120 + 40 = +10$) confirms internal consistency.

D10 (Case). Q Ltd (manufacturer) received ₹5 lakh interest on FDs and paid ₹8 lakh interest on its working-capital loan. Correct treatment: A) Both operating B) ₹5 lakh investing inflow; ₹8 lakh financing outflow C) Both financing D) Net ₹3 lakh operating outflow **Ans: B.** For a non-finance entity, interest received → investing, interest paid → financing; never net them.

D11. The applicability exemption: a Level II/III (non-corporate) or Small & Medium Company preparing financial statements is: A) Barred from AS 3 B) Exempt from mandatorily preparing a cash flow statement C) Required to use only the direct method D) Required to use only the indirect method **Ans: B.** SMEs/SMCs are exempted from the mandatory preparation of a cash flow statement under the ICAI framework.

D12. Proposed dividend of the **current year** (treated as a non-adjusting event) appears in the current year's cash flow statement as: A) A financing outflow now B) An operating item C) It does not appear until actually paid D) Investing outflow **Ans: C.** Only dividend **actually paid** is a cash flow; the current proposal is not yet a cash movement.

End of Q&A — AS 3 Cash Flow Statements. Pair with the concept chapter's Quick-Revision Sheet (indirect operating template, classification table, ledger-reconstruction formulas, tie-out check) for full coverage.